

KVIC

KHADI & VILLAGE INDUSTRIES COMMISSION

PMEGP · KVIC UNIT PACK

PMEGP DETAILED PROJECT REPORT
ON
Establishment of
SRI VENKATESWARA STEEL FURNITURE

under 'PMEGP'

Credit-linked margin money · bank-style single-unit DPR

DISTRICT	Prakasam
LOCATION	Survey No. 42/2, Tangutur, Prakasam district
ENTREPRENEUR NAME	Sri P. Venkateswara Rao

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1 Cover & entrepreneur

Particular	Details
Unit / Project Name	Sri Venkateswara Steel Furniture
District	Prakasam
Location	Survey No. 42/2, Tangutur, Prakasam district
Nature of Business	Fabrication of steel school furniture, almirahs and window grills
Major Products	School desk with bench, steel almirah, window grill set
Category	General category
Area (rural / urban)	Rural
Implementing agency	State KVIB
Entrepreneur name	Sri P. Venkateswara Rao
Age	38
Education	8th class pass or higher

2 Executive summary & process

Particular	Details
Sector / industry type	Light engineering — steel furniture

Short intro — what the unit does

The unit will cut, weld and paint purchased mild-steel sections into school desks, household almirahs and window grills for schools and house builders in Prakasam district. It is a new rural manufacturing shed, not a trading showroom.

Executive summary

Sri Venkateswara Steel Furniture is a proposed new fabrication unit at Tangutur, Prakasam district, for school desks, steel almirahs and window grills. Sri P. Venkateswara Rao, an ITI fitter with nine years in a Vijayawada fabrication shop, will run it as a proprietorship. The project cost is ₹23.20 lakh. The promoter brings ₹2.32 lakh (10%). PMEGP margin money for a rural general-category unit is ₹5.80 lakh (25%). State Bank of India, Tangutur branch, is proposed for a term loan of ₹15.08 lakh at 11% for 60 months with a 6-month moratorium. The shed is leased. Commercial production is proposed from January 2027 at 55% of a 6-piece-a-day capacity.

Process of manufacture

MS angles, square pipes and CRCA sheets are cut to size on a hydraulic shear, notched and bent, then MIG-welded on jigs for desks, almirahs and grill frames. Welds are ground, the piece is degreased, primed and finished in a spray booth. School desks are packed in sets of ten. Almirahs get locks, shelves and a paint coat. Grill sets are measured against the mason's opening list. No foundry and no structural fabrication for buildings. Scrap is sold weekly to the Ongole scrap yard.

3 Location

Brief location / market catchment

The shed is on the Tangutur–Ongole road, about 18 km from Ongole. Steel traders in Ongole deliver sheet and pipe by tempo. Two school-furniture suppliers and house builders in Tangutur and Singarayakonda are the first buyers. A 3-phase line is on the road.

4 Unit profile & capacity

Present / proposed activity summary

The unit is not yet in production. The promoter is a fitter in a Vijayawada fabrication shop and will move to Tangutur once the loan is sanctioned. Commercial production is proposed from January 2027.

Particular	Details
Start / commencement	Proposed commencement January 2027
Tools / process level	Hydraulic shear, MIG welding, pipe bending and a spray booth
Capacity / throughput	6 furniture pieces a day at full capacity
Capacity utilisation Year 1 (%)	55

Product	Share of output (%)	Selling price (₹)
School desk with bench	55	4200
Steel almirah	25	7600
Window grill set	20	2800

5 Market & sales assumptions

Target customers / market

Two school-furniture suppliers who cover government and private schools in Prakasam, house builders in Tangutur, and one furniture shop in Ongole. No export is proposed.

Demand / footfall note

School suppliers place desk orders before June. House builders order grills through the year. The promoter has enquiry notes from two suppliers for about 400 desks in the first school season.

6 Workshed / premises & power

Particular	Details
Shop / shed / workplace name	Sri Venkateswara Steel Furniture shed

Premises note (own / lease / rent)

Leased roadside shed of about 2,400 sq.ft. on Survey No. 42/2, Tangutur. Five-year lease, two-year lock-in. Landlord: Sri M. Subba Rao, Tangutur.

7 Applicant / firm

Particular	Details
Firm / proprietor name	Sri Venkateswara Steel Furniture
Legal status	Proprietorship
Correspondence address	D.No. 3-18, Tangutur village and post, Prakasam district, Andhra Pradesh

8 Project cost

Particular	Details
Land (₹ Lakhs)	0
Building / shed (₹ Lakhs)	3.2
Utilities & Infrastructure (₹ Lakhs)	0.8
Preliminary & Pre-operative (₹ Lakhs)	0.6
Machinery / equipment (₹ Lakhs)	12.4
Working capital (₹ Lakhs)	6.2

Description	New / used	Supplier	Qty	Unit cost (₹ Lakhs)
Hydraulic shearing machine	New	Batliboi dealer, Vijayawada	1	2.6
MIG welding machines	New	Welding supplier, Ongole	2	0.55
Pipe bending machine	New	Fabricator, Hyderabad	1	1.8
Bench drill and angle grinder set	New	Tools shop, Ongole	1	0.45
Spray booth with compressor	New	Paint equipment, Chennai	1	2.15
Powder-coating oven	New	Coating equipment, Hyderabad	1	2.4
Hand tools, clamps and measuring set	New	Local, Ongole	1	0.4
10 kVA panel and stabilizer	New	Electricals, Guntur	1	1.5

9 Means of finance (critical)

Particular	Details
Own / promoter contribution (₹ Lakhs)	2.32
Government Grant (₹ Lakhs)	5.8
Bank Loan (₹ Lakhs)	15.08
Other Sources (₹ Lakhs)	0
Bank name	State Bank of India, Tangutur branch
Interest rate (% per year)	11
Moratorium (months)	6
Loan tenure (months)	60

10 Operating cost & sales

Particular	Details
Raw Material Cost (₹ Lakhs)	26
Power Cost (₹ Lakhs)	1.4
Wages (₹ Lakhs)	8.5
Maintenance (₹ Lakhs)	0.5
Administrative Expenses (₹ Lakhs)	1
Marketing Expenses (₹ Lakhs)	0.4
Annual Production Volume	990
Annual Sales Realization (₹ Lakhs)	47.2

Material	Use	How it is bought
CRCA sheet and MS angle	Desks and almirahs	Monthly lots from Ongole steel traders
MS square pipe	Desk frames and grills	Bought against confirmed school orders
Primer, paint, locks and packing	Finishing	Monthly consumable stock

Role	Number of people	Monthly pay (₹)
Fabrication supervisor	1	16000
Welders	2	13000
Helpers	2	9000
Painter	1	11000

11 Financial viability

Year	Sales (₹ Lakhs)	Raw material	Wages	Power	Net profit
Year 1	47.2	26	8.5	1.4	5.8
Year 2	60.1	33	9	1.6	8.2
Year 3	68.7	37.5	9.6	1.8	10.1
Year 4	73	39.8	10.1	1.9	10.8
Year 5	77.3	42	10.6	2	11.4

Particular	Details
Break-even (capacity %)	48

12 Implementation schedule

Particular	Details
Commercial production date (CoD)	2027-01-01

Activity	Time	Start	End
KVIB forwarding and bank appraisal	45 days	2026-08-01	2026-09-15
Shed flooring, 3-phase connection and machine order	45 days	2026-09-16	2026-10-31
Installation, trial welding and staff joining	30 days	2026-11-01	2026-11-30
First school-desk lot	30 days	2026-12-01	2027-01-01

13 Employment & impact

Particular	Details
Direct employment (count)	7
Indirect employment	4

Impact note

Seven people will work in the shed: one supervisor, two welders, two helpers, one painter and the promoter on accounts and school-order follow-up. Paint, hardware and local transport add about four indirect jobs. The first buyers are two government-school suppliers in Prakasam and a furniture shop in Ongole.

14 Documents & uploads

Particular	Details
Aadhaar / PAN	Uploaded
Machinery / Equipment Quotations	Uploaded
Building / workshed estimate	Uploaded
Bank Passbook	Uploaded
Udyam Certificate	Uploaded
Education certificate	Uploaded